

THE WALL STREET JOURNAL.

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WSJ.com

★★★★ \$5.00

DJIA 48941.90 ▼ 557.37 1.13%

NASDAQ 25067.80 ▼ 0.2%

STOXX 600 605.51 ▼ 1.0%

10-YR. TREAS. ▼ 17/32, yield 4.445%

OIL \$106.42 ▲ \$4.48

GOLD \$4,519.50 ▼ \$110.40

EURO \$1.1693

YEN 157.25

What's News

Business & Finance

◆ **Finra launched an** investigation into the nature and extent of the work done by recruits to a Morgan Stanley branch office in Budapest. **A1**

◆ **Major U.S. stock indexes** fell, with the S&P 500, Dow and Nasdaq shedding 0.4%, 1.1% and 0.2%, respectively. Brent crude, the international benchmark, rose 5.8% to \$114.44 a barrel. **B1**

◆ **Orders at U.S. factories** rose in March for a second straight month, reaching \$630.4 billion in value. **A2**

◆ **Cerebras will offer** 28 million shares in its planned IPO at a price of \$115 to \$125 a share in a flotation that would raise \$3.5 billion at the upper end of the range. **B1**

◆ **Berkshire Hathaway** tapped Gen Re Chairman Charlie Shamieh as the successor to the conglomerate's longtime insurance mastermind, Ajit Jain. **B1**

◆ **The second week** of a blockbuster trial between Elon Musk and OpenAI kicked off with questions about the finances of the startup's president, Greg Brockman. **B4**

◆ **Quarterly revenue** and profit at Palantir soared to records, boosted by strong U.S. military demand and growth in software sales to U.S. corporations. **B4**

◆ **Paramount reported** higher quarterly revenue as streaming and studio gains offset a decline in its television media segment. **B3**

◆ **Tyson foods posted** a deeper, \$240 million loss in its beef division for its fiscal second quarter compared with a year earlier as cattle prices remained elevated. **B2**

Worldwide

◆ **The U.S. and Iran** are teetering on the brink of a dangerous new phase of the war, as both turn to military force to break a standoff in the Strait of Hormuz that has paralyzed shipping and imposed costs on both sides. **A1, A8**

◆ **Justice Samuel Alito** temporarily restored full access to the abortion pill mifepristone, suspending a lower-court ruling prohibiting mail orders without a doctor first seeing a patient in person. **A4**

◆ **The White House** is weighing a new government-review process for artificial-intelligence tools that the government deems to pose cybersecurity risks. **A3**

◆ **California took legal** action against State Farm, accusing the insurer of unlawfully delaying, denying and underpaying home-insurance claims from survivors of last year's Los Angeles wildfires. **A3**

◆ **A Ukrainian drone** struck a luxury residential complex in Moscow, underlining Kyiv's ability to reach into Russia's heartland as hostilities continue. **A6**

◆ **Authorities rushed** to contain a suspected hantavirus outbreak on a cruise ship off West Africa that they say killed three people and sickened three others. **A6**

◆ **Indian Prime Minister** Narendra Modi's ruling Hindu nationalist party wrestled control of the state of West Bengal, an opposition stronghold, in a key election. **A6**

◆ **Died: Doris Fisher**, 94, co-founder of the Gap. **B1** ... **John Sterling**, 87, radio voice of the New York Yankees. **A5**

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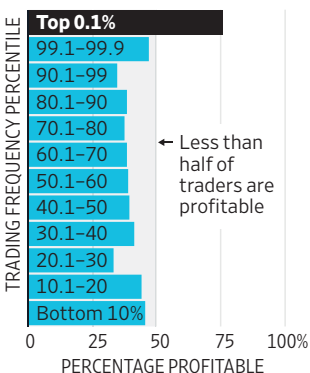
Beyoncé Brings a Bare-Bones Look to Met Gala



BODY OF WORK: The Met Gala drew stars Monday, including Beyoncé in a skeleton-inspired gown, to the Metropolitan Museum of Art in New York. Amazon's Jeff Bezos, who with his wife is an honorary co-chair of the event, is now a fashion fixture. **A10**

Most—Except a Few Sharks—Lose on Prediction Markets

Share of profitable traders on Polymarket, by trading frequency



Note: Data covers 1.6 million accounts. Source: WSJ analysis of Polymarket data

John Pederson, 33, couldn't work. The former Outback Steakhouse line cook was recovering from a car crash and low on money. Kalshi, the prediction market, promised a quick way to fix that. He took out a variable-interest loan and started betting.

By Neil Mehta, Katherine Long and Caitlin Ostroff

At first, it worked. Pederson turned about \$2,000 into close to \$8,000 by betting on daily snowfall totals in Detroit, where he lives. He parlayed that into \$41,000 by trading on sports, using a strategy he developed

with the help of AI, according to a Wall Street Journal review of his account records.

Then he placed an audacious bet: All \$41,000 that a celebrity would say a particular word on TV. He lost it all.

Pederson isn't alone in walking away empty-handed from the bet-on-everything markets, which cover sports, celebrities, news and more.

Kalshi and its competitor Polymarket advertise themselves as life-changing tools for regular people—implying everyone has a fair chance to score. “I was about to be unable to pay my rent, but I got two years of rent through Kalshi's predic-

tions,” gushed one woman in a Kalshi ad on TikTok.

But for most users the reality is nothing like that.

Instead, casual traders are bleeding cash while a small number of sophisticated pros—including trading firms with access to vast streams of data—eat their lunch, according to a Journal analysis of platform data and interviews with traders.

On Polymarket, the Journal found, 67% of profits go to just 0.1% of accounts. That means less than 2,000 accounts netted a total of nearly half a billion dollars. The Journal analyzed 1.6 million Polymarket accounts

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Morgan Stanley Faces Inquiry For Junior Team in Hungary

By ALEXANDER SAEEDY

A new cohort of young Morgan Stanley investment bankers showed up two years ago to their first day of work at a beige office building off the east bank of the Danube River in Budapest.

The bank had recruited them from across Europe to work out of the Hungarian capital for a chance to be promoted to the big leagues in New York or London. Some of them worked into the morning hours several days a week to support teams in the U.S., six

time zones behind them.

For the bank, it was a way to move jobs offshore and hire cheaper labor to carry out the drudgery that well-paid young investment bankers typically do in their first years on the job: building financial models, formatting pitch decks and occasionally helping execute big-ticket transactions.

Now, the Financial Industry Regulatory Authority in the U.S. has opened an inquiry about what kind of work the Budapest bankers were doing, how much contact they had with clients and how they

were supervised, people familiar with the matter said. The probe is at an early stage, the people said.

A former employee had contacted the regulator as a whistleblower, the people said, alleging those in the program lacked the proper licenses that work would have required. The whistleblower said the bank violated rules meant to protect confidential information about clients and transactions from being mishandled.

Morgan Stanley and Finra declined to comment.

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Aluminum price over the past year



Note: Cash price on the London Metal Exchange Source FactSet

Truck Supply Feels Squeeze

Dealer inventories of America's top-selling vehicle, the Ford F-150, are being hurt because aluminum, the metal used to make its body, is in short supply. Aluminum is a key commodity for automakers looking to boost the fuel economy and efficiency of their vehicles. **B1**

Americans Will Do Anything To Get Indian Mangoes

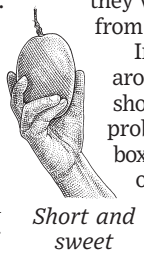
The faithful are stalking flights, leaving work and paying lobster prices to get their fix

By ANVEE BHUTANI

Every spring, Carfax chief marketing officer Nakul Goyal eagerly awaits his favorite WhatsApp notification. It's a mango alert.

“The moment a new shipment gets announced, I literally stop whatever I'm doing,” said the self-described “mango fan.”

Welcome to Indian mango season in America, when a devoted and slightly unhinged community descends into a collective frenzy over a delicacy that most of their neighbors have never tasted.



Short and sweet

They track flight arrivals like anxious parents. They drive to warehouses and parking lots at odd hours. They flash IDs and walk away clutching crates like they've just collected treasure from a Swiss vault.

Importers field calls around the clock during this short but sweet season. “The problem is that the mango boxes come and they get sold out,” said Sameer Phanase, who runs a Virginia-based Indian mango import business.

But the selling itself isn't an issue. Even his FedEx delivery driver, originally from Mexico, has traded his Mexican mango

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INSIDE



MIKE STOCER/AP

PERSONAL JOURNAL
Our columnist will miss Spirit Airlines—and the haters will, too. **A11**

BUSINESS & FINANCE
Robotaxis are on a roll as companies race to roll out service in cities across the U.S. **B1**

Tsunami of Raw Sewage Plagues California Beach

By JIM CARLTON

CORONADO, Calif.—Kristin Cohen draped towels over beach chairs on the white sand, eager to take her daughter, Chloe, into the ocean.

A yellow sign stopped her cold: “Water Contact May Cause Illness.”

“I guess we can't do that, babe,” Cohen, 36 years old, a vacationer from New Jersey, told 3½-year-old Chloe, who stared back, confused, then got an ice pop as consolation.

Such signs are now a fixture in Coronado, an upscale resort city on a slender peninsula in San Diego Bay, known for some of the U.S.'s best beaches. But its legendary waters are increasingly off-limits, fouled by sewage-tainted wastewater—as much as 30 million gallons a

day—from neighboring Mexico. “It was heaven on earth and now I call it paradise lost,” said Whitney David, 63, a retired surgeon and surfer who left Coronado largely because of the sewage. “All kinds of trash you would even see a piece of crap.”

The stench wafts ashore. Larry Delrose, entertainment director at the Coronado Shores condo community, shuts his windows two or three nights a week. “It smells like, you know, sewer,” said Delrose, looking out at the murky ocean as his phone sounded with the ringtone of “That's Life.”

The border metropolis of Tijuana has more than doubled in

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